

## Global Facilities - Design & Construction Standard - Construction - Invoicing Procedure Guideline

ECN Facility: GLOBAL FACILITIES

ECN Area: CONSTRUCTION

Owner(s) CONSTRUCTION

Target Audience: All Facilities

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[ECN History](#)[Submit a Change Request](#)

### 1.0 Purpose

- 1.1 This document is a generic document for use by various levels of organization appropriately allocated namely construction engineers; site project controls; procurement and project management for authorization and verification of all payments requested by vendors. It provides guidance and governs the workflow to follow which is intended to ensure formality of the project flow to run smoothly and is applicable Micron Sites Globally.

### 2.0 Scope

- 2.1 This document is applicable to construction engineers; site project controls; procurement and project management for authorization and verification of all payments requested by vendors who are working on construction projects located Globally. **Also, to note that Invoicing Procedure will be approved by Micron project sites relevant members immediately upon the start of execution of the project.**

### 3.0 Objective

- 3.1 The aim of invoicing procedure is to ensure that the workflow is implemented in each job site. Relevant personnel is to adhere the workflow strict to ensure the process of invoicing is rightfully carried out.

## 4.0 Definitions and Acronyms

| Term/Acronym                              | Definition / Description                                                                                                                                                                                                 |
|-------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| FCT                                       | Facilities Central Team. This is used interchangeably with Global Facilities Engineering Team and associated to O&M BKMs                                                                                                 |
| GFTT                                      | Global Facilities Technology Team. This is used interchangeably with Global Facilities Engineering Team and associated to design standards                                                                               |
| GFC                                       | Global Facilities & Construction Team. This is used interchangeably with Global Facilities (GFac), Facilities Central Group (FCG), World Wide Operations (WWOps), World Wide Facilities (WW_FACILITIES), Corp Facilities |
| Global Facilities Central Team            | This is used interchangeably with Innovation & Integration Team                                                                                                                                                          |
| Global Facilities Construction Team       | This is used interchangeably with Global Construction Team                                                                                                                                                               |
| Global Facilities Operations Support Team | This is used interchangeably with Global Facilities Operations Team                                                                                                                                                      |
| Global Facilities Planning Team           | This is used interchangeably with Global Facilities Line Planning Team                                                                                                                                                   |
| AP                                        | Account payable                                                                                                                                                                                                          |
| DO                                        | Delivery order                                                                                                                                                                                                           |
| IR                                        | Invoice Received                                                                                                                                                                                                         |
| GR                                        | Goods Received                                                                                                                                                                                                           |
| PO                                        | Purchasing Order                                                                                                                                                                                                         |
| PR                                        | Purchasing Requisition                                                                                                                                                                                                   |
| QS                                        | Quantity Surveyor                                                                                                                                                                                                        |
| T&C                                       | Terms and Conditions                                                                                                                                                                                                     |

## 5.0 Roles and Responsibilities

| Roles                                  | Responsibilities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|----------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Contractor/<br>Supplier                | <ol style="list-style-type: none"> <li>1. Submit the Progress Report for verification and invoice in accordance with the claimed progress.</li> <li>2. The supporting documents (as listed) must be included along in the submission. <ul style="list-style-type: none"> <li>• Work Progress Report verified by Execution Engineer.</li> <li>• Executed payment application</li> <li>• Documentation that substantiates the payment requested, which may differ depending on the pricing method.</li> <li>• Other documentation evidencing that the requesting contractor/ supplier has made such as providing labor, materials or equipment for the project. This includes timesheet, statements of account or affidavits of payment.</li> </ul> </li> </ol> <p>Documents required for the final payment application typically include documents necessary for turnover or project closeout, such as:</p> <ul style="list-style-type: none"> <li>• As-built drawings</li> <li>• Operation and maintenance manuals</li> <li>• Manufacturers' warranties or other warranty documentation</li> <li>• Evidence of performance completion tests, if applicable, and</li> <li>• Evidence of performance completion tests, if applicable, and</li> <li>• Final lien and claim waivers from the contractor and all subcontractors, and consent to final payment from the contractor's surety. Receipt of final payment often acts as a waiver by the contractor of all claims.</li> </ul> <p>The contract type(s) which is applicable to this role are construction services, raw material/ equipment, time and material.</p> |
| Construction Manager                   | <p>Construction Manager will receive and review the reports/ payment claim/ T&amp;C generally which the contractor/ supplier submits the payment claim on monthly basis.</p> <p>The contract type(s) which is applicable to this role are construction services, and time and material.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Project Engineer/<br>Quantity Surveyor | <p>The project engineer or the quantity surveyor will ensure the progress claim reported by the contractor matches to actual work completion at site.</p> <p>The contract type(s) which is applicable to this role are construction services, and time and material.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |

| Roles                                        | Responsibilities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|----------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Project Controller                           | <p>The project controller will validate the payment claim submitted matches with payment milestone. In addition, he will review the cost, schedule impact (if there is) and update the invoice summary tracker with status.</p> <p>The contract type(s) which is applicable to this role are construction services, raw material/ equipment, time and material.</p>                                                                                                                                                                                                                                                  |
| Commercial Manager                           | <p>The commercial manager will check and validate if the terms and condition stated in the payment certificate aligns to the contract. In addition, he/ she will help to ensure the contractor claim the payment milestone correctly with accordance to the project's contract.</p>                                                                                                                                                                                                                                                                                                                                  |
| Project Director/<br>Project Manager         | <p>The project director/ project manager will review on the comment / feedback from the commercial manager, project engineer and project controller. He will approve or reject the contractor's payment claim.</p> <p>The contract type(s) which is applicable to this role are construction services, and time and material.</p>                                                                                                                                                                                                                                                                                    |
| Supply Chain Department /<br>Facilities Team | <p>The supply chain department/ facilities team will ensure the Purchasing Requisition (PR) is properly detailed by the requestor (engineer). The person in charge in the supply chain or the facilities team will source for the relevant vendors for the equipment.</p> <p>Also, he/ she will ensure that the price of the equipment matches with the budget provided by cost controller. In the event, if the equipment/ material's cost is higher than the budget, seek higher management's approval is required.</p> <p>The contract type(s) which is applicable to this role is raw material or equipment.</p> |
| Logistic Coordinator                         | <p>The logistic coordinator will receive equipment / materials from the supplier, check if the goods matches with the description listed in the invoice, if the order is correct, a stamp of "Good Received" or "Invoice Received" will be issued. After which, the logistic coordinator will update the SAP system accordingly.</p> <p>The contract type(s) which is applicable to this role are construction services, raw material/ equipment, time and material.</p>                                                                                                                                             |
| Quality Control Inspector                    | <p>The quality control inspector will inspect the received equipment/materials using industry-appropriate methods, such as comparing to standards, measuring dimensions, project technical specification and examining functionality.</p> <p>The contract type(s) which is applicable to this role is raw material or equipment.</p>                                                                                                                                                                                                                                                                                 |
| Accounting Department                        | <p>Once the SAP notification is received by the account payable personnel, he/she can to proceed on with the necessary documentation. The financial controller will approve the SAP</p>                                                                                                                                                                                                                                                                                                                                                                                                                              |

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| Roles | Responsibilities                                                                                                                                                                                                                           |
|-------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|       | <p>application prior to the Account Payable making payment arrangement to the contractor/supplier.</p> <p>The contract type(s) which is applicable to this role are construction services, raw material/ equipment, time and material.</p> |

## 6.0 Scenario based Process Flows

### 6.1 Terminology

This section details the process flow of the three scenarios as featured in **Figure 1**, **Figure 3** and **Figure 5**.

#### 6.1.1 Project Certification of Construction Services

Project certification of service is responsibility of Project Engineering, Quantity Survey & Contract Administration and Project Control department based on **Figure 1**.

6.1.2 Contractor to prepare the weekly and monthly progress report based on the completed quantities at the site and the progress completion with supporting documents such as marked up drawings, detailed calculations, photos, copy of contract etc. The progress report and the payment certificate **Figure 2** are then submitted to the construction manager for processing.

6.1.3 Construction Manager to verify whether the progress report submission is completed. In the event, if the report is incomplete, the construction manager will return the report back to the contractor for resubmission. Else, the report will be handled to project engineer and project controller for rectification.

6.1.4 Project Engineer / Quantity Surveyor (QS) to verify if the progress report is supported with necessary supporting documents such as marked up drawings, detailed calculations, photos, copy of contract etc. and return the invoice to the contractor within 2 days (if not supported).

Project cost controller will check if the completed quantities are as the drawing/ field instructions and the unit rates as mentioned in the contract rightly indicated. In addition, he/she will verify if the payment claim made by the contractor is with accordance to the payment milestone and the project's progress. Back charge (if any) will be deducted.

If the project engineer / cost controller cannot complete the verification checking in 7 days, 90% of the claim will be released for the payment and the payment and the balance checking will be completed in the next 2 days' time.

6.1.5 Project Director / Project Manager will acknowledge and approve the contractor progress payment certificate if the progress claimed by the contractor is validated and well supported with documents. However, in the event, if the claim is deemed unreasonable such as insufficient supporting documents submitted, the payment certificate will be rejected.

6.1.6 Upon receipt of the payment certificate approval from project director/project manager, the logistic personnel will stamp the payment claim with, "Goods Received (GR)" and "Invoice Received (IR)" and enter all necessary details in SAP.

6.1.7 The SAP notification on the Goods Received and Invoice Received will trigger, account payable (AP) team member will verify on completeness of invoice and details being entered.

Finance controller will acknowledge if the verification is completed. The payment is then released by the AP to the contractor.

## 6.2 Local Goods (Equipment / Materials) Purchase Payment

### 6.2.1 Invoice Processing and Payment

Invoicing and payment for local equipment and material purchase flowchart in **Figure 3**. The explanation of the process flow is as follows.

- i. Engineers to advise the type and quantity of equipment and materials to procure with accordance to the contract or project's need. The technical specification of the equipment and materials must be clearly specified so that the suppliers understand.

Engineers to prepare a purchasing requisition (PR) and submit to Supply Chain Department for processing.

- ii. The buyer will search for relevant suppliers as per the technical specifications indicated in the PR.

With a minimum 3 quotations, the buyer shall work closely with the cost engineer on the respective material / material cost budget.

If the actual cost of the material/ equipment meets the expectation of the respective material/equipment budget, the buyer can invite the prospective suppliers to have technical discussion / clarification with requested engineers if there is any further query.

However, in the event if the actual cost of the material/ equipment exceeds the respective material/equipment budget, business justification and obtaining management approval with accordance to supply chain procedure is required.

- iii. When there is no more commercial and technical query to be made, the buyer can proceed to procurement of the equipment and materials. Purchasing Order (PO) will then issue.
- iv. When the equipment/ material is delivered to the job site, quality assurance personnel or requested engineer will do an inspection on the materials/ equipment to ensure the goods received is in good condition and according to the specification which they ordered. The quality assurance personal will inspect the received equipment/materials using industry-appropriate methods, such as comparing to standards, measuring dimensions, project technical specification and examining functionality.

If the equipment/ material matches with the technical specification and in good condition, the invoice is then handed over to the logistic department. The logistic personnel will then stamp the "Goods Received (GR)" and "Invoice Received (IR)".

The details on the payment claim will then be entered into SAP system.

- v. Upon receiving the SAP notification on the Goods Received and Invoice Received, the account payable (AP) team member will make a verification check on completeness of invoice and details.

Finance controller will then acknowledge if the verification is completed. The AP will then arrange the payment to the contractor. Any advance payment requires the coverage by the supplier's irrevocable and on-demand Bank Guarantee as per Policy.



### 6.3 Time and Materials Payment Workflow

Time and material billing refer to the billing process wherein actual number of hours worked, and the resources deployed are billed on an as is basis with the margin added to it. In other words, time and material billing refers to the billing that is done as per the actual number of hours/days/months worked by the resources (how many ever) and multiplying the two to arrive at the consolidated figure.

Further, time and material billing have the advantage of taking into account project overruns, which means that even when the project shoots past the estimated deadline, the vendor is covered because of the actual billing that takes place. On the other hand, the clients in recent times have been reluctant to go in for a time and material actual costs billing because of the risks involved in terms of budget overhangs and delays. In other words, time and material billing can lead to cost overruns and associated problems.

When a time and material project is to be created, procedures (as listed below) shall be strictly followed.

- a. Project information such as Project ID, Project name, Project group, Project contract ID and customer name should be clearly stated in the project contract form.
- b. Billing rules such as Milestone, Progress, Time and Material, Fee, Unit of delivery, Labor rate of individual workers including the cost build up must be detailed.

For Time and Material billing rules, chargeable categories must be clearly defined and assigned.

#### 6.3.1 Time Billing

For time billing, timesheet which clearly indicating the name of the worker, the employee number, the project code, the job description and the hour spent must be recorded clearly on a daily basis and signed off by his/ her supervisor. **Figure 5** illustrates an example of the format of the timesheet.

The commercial manager will validate **vide Checklist (Figure 6)** the total manhour and the rate of labor invoiced against with the timesheet submitted as supporting documents and contract. If the manhours indicated is correct, then payment claim will be acknowledged by the cost engineer and the project manager. If there is any discrepancy discovers, the cost engineer can choose to reject the payment claim from the contractor and request them to make the amendment then to resubmit.

### 6.3.2 Material Billing

For material billing, all true invoices are to be submitted together with verified delivery order (DO) by relevant technical personnel such as project engineer, quality personnel and commercial personnel such as buyer and cost engineer before the invoices are handed to finance team for processing payment to supplier.

### 6.3.3 Billing Rules

For all types of billing rules, a retention percentage must be specified and will be deducted from a customer invoice until a project reaches an agreed-upon stage. The payment retention percentage is specified in the project contract. The amount is calculated on and subtracted from the total value of the lines in a customer invoice.

### 6.3.4 Time and Material Workflow

Time and Material Process Flow in **Figure 4** summarizes the paragraphs as follow:

6.3.4.1 Timesheet from the workers and reimbursable expense invoice must be timely submitted to their supervisor and project manager for approval. It must be submitted on a weekly basis. This will be submitted together to the client's construction manager with the weekly manhour report. Any incomplete / unauthorized timesheet will be rejected.

6.3.4.2 Project engineers will rectify the work on site based on the supporting documents attached to the weekly report. Working in parallel, the commercial manager will assist to validate the terms and condition (T&C) stated in the payment certificate if they are aligned to the contract terms. In addition, the commercial manager will check **vide checklist (Figure 6)** if to the total manhours incurred of the respective week in the weekly manhour report is correct. Based on rate of labor and materials cost, the commercial manager can also estimate the cost incurred of the week.

If there is no error, both commercial manager and project manager will acknowledge the report. The report will be kept for monthly manhour report checking.

In the event if there is inconsistency discover, the project manager will reject the weekly manhour report and return to the contractor.

6.3.4.3 The weekly reports will be filed and checked against the monthly report which will be submitted during the cutoff date of the month. If there is no discrepancy, the project manager will approve the payment certificate.

6.3.4.4 The signed payment certificate will then handle over to the logistic department. The logistic personnel will then stamp the

payment claim with, "Goods Received (GR)" and "Invoice Received (IR)". The details on the payment certificate will then be logged into SAP system and submitted.

- 6.3.4.5 Upon receiving the SAP notification, the finance team member will do a verification check to ensure the details are entered correctly. The finance controller will acknowledge if the verification is completed. Subsequently, the account payable (AP) team member will arrange the payment to be released to the contractor.

## 6.4 Materials purchases and equipment rental

Materials (in regardless purchased or rented) can be classified from office equipment to construction machinery. Frequently, equipment is purchased by the contractor for the job and rented back to the owner.

For example, negotiation of the terms and conditions (T&C) on the disposition agreement is essential. This is to cap the rental rate in the contract. For example, you do not want to pay more in office equipment or job trailer rentals than you could have paid to purchase the items.

Hence, it is important to follow the key steps as illustrated in Figure 7. This ensures the consistency in payment.

## 7.0 Related Documents

7.1 Process Flow Diagrams – Service Contract Payment Workflow **Figure 1**

7.2 Payment Application **Figure 2**

7.3 Process Flow Diagrams – Local Goods (Equipment / Materials) Purchase Payment Flow Chart **Figure 3**

7.4 Process Flow Diagrams – Time and Material Payment Workflow **Figure 4**

**7.5** Timesheet Format **Figure 5**

**7.6** Check list for verification of Time and Material invoices **Figure 6**

**7.7** Check list for verification of Materials Purchases and Equipment Rentals invoices **Figure 7**

## 8.0 Document Control

### 8.1 Approval:

GLOBAL\_FAC\_CONSTRUCTION\_APPR

### 8.2 Notification:

GLOBAL\_FAC\_MANAGERS  
GLOBAL\_FAC\_COMMUNICATIONS  
GLOBAL\_FAC\_CONSTRUCTION  
GLOBAL\_FAC\_NOTIFY  
FPMO\_PROJECT\_MANAGERS  
GFAC\_IE\_LAYOUT\_TEAM\_NOTIFY  
FCG\_F2\_FAC\_NOTIFY  
FCG\_F4\_FAC\_NOTIFY  
FCG\_F6\_FAC\_NOTIFY  
FCG\_F10W\_FAC\_NOTIFY  
FCG\_F10N\_FAC\_NOTIFY  
FCG\_MTTW\_FAC\_NOTIFY  
FCG\_F15\_FAC\_NOTIFY  
FCG\_F16\_FAC\_NOTIFY  
FCG\_MMP\_FAC\_NOTIFY  
FCG\_MMY\_FAC\_NOTIFY  
FCG\_MSB\_FAC\_NOTIFY  
FCG\_MXA\_FAC\_NOTIFY  
MTB\_FAC\_ALL\_NOTIFY

### 8.3 Final Viewer Access

All Micron Facilities Team Members at all Sites

### 8.4 Retention

Adherence to the requirements specified in the  
[\*\*Global Facilities – Document Control Procedures\*\*](#) .

### 8.5 Review

Biennially (two years)

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## 9.0 Revision History

| Revision # | Section Changed | Details of Changes                                                                                                                                                                                                                                                                                              | Date     |
|------------|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| 0          | NA              | New Document                                                                                                                                                                                                                                                                                                    | 12/09/20 |
| 1          | 4.0             | Included "T&C" in the Definitions and Acronyms                                                                                                                                                                                                                                                                  | 12/15/20 |
|            | 5.0             | Updated the roles and responsibilities of the Construction Manager                                                                                                                                                                                                                                              |          |
|            | 6.3.1           | Added validation of "vide Checklist (Figure 6)"                                                                                                                                                                                                                                                                 |          |
|            | 6.3.4.2         | Added the check of "vide Checklist (Figure 6)"                                                                                                                                                                                                                                                                  |          |
|            | 6.4             | Added section of "Materials purchases and equipment rental"                                                                                                                                                                                                                                                     |          |
|            | 7.0             | Added "Check list for verification of Time and Material invoices Figure 6" and "Check list for verification of Materials Purchases and Equipment Rentals invoices Figure 7"                                                                                                                                     |          |
|            | Appendix        | Added new Figures into the Appendix: <ul style="list-style-type: none"><li>- Figure 4: Time and Material Purchase Payment</li><li>- Figure 6: Check list for verification of Time and Material invoices</li><li>- Figure 7: Check list for verification for Materials purchases and equipment rentals</li></ul> |          |

10.0 APPENDIX

Figure 1: Process Flow Diagrams – Service Contract Payment Workflow

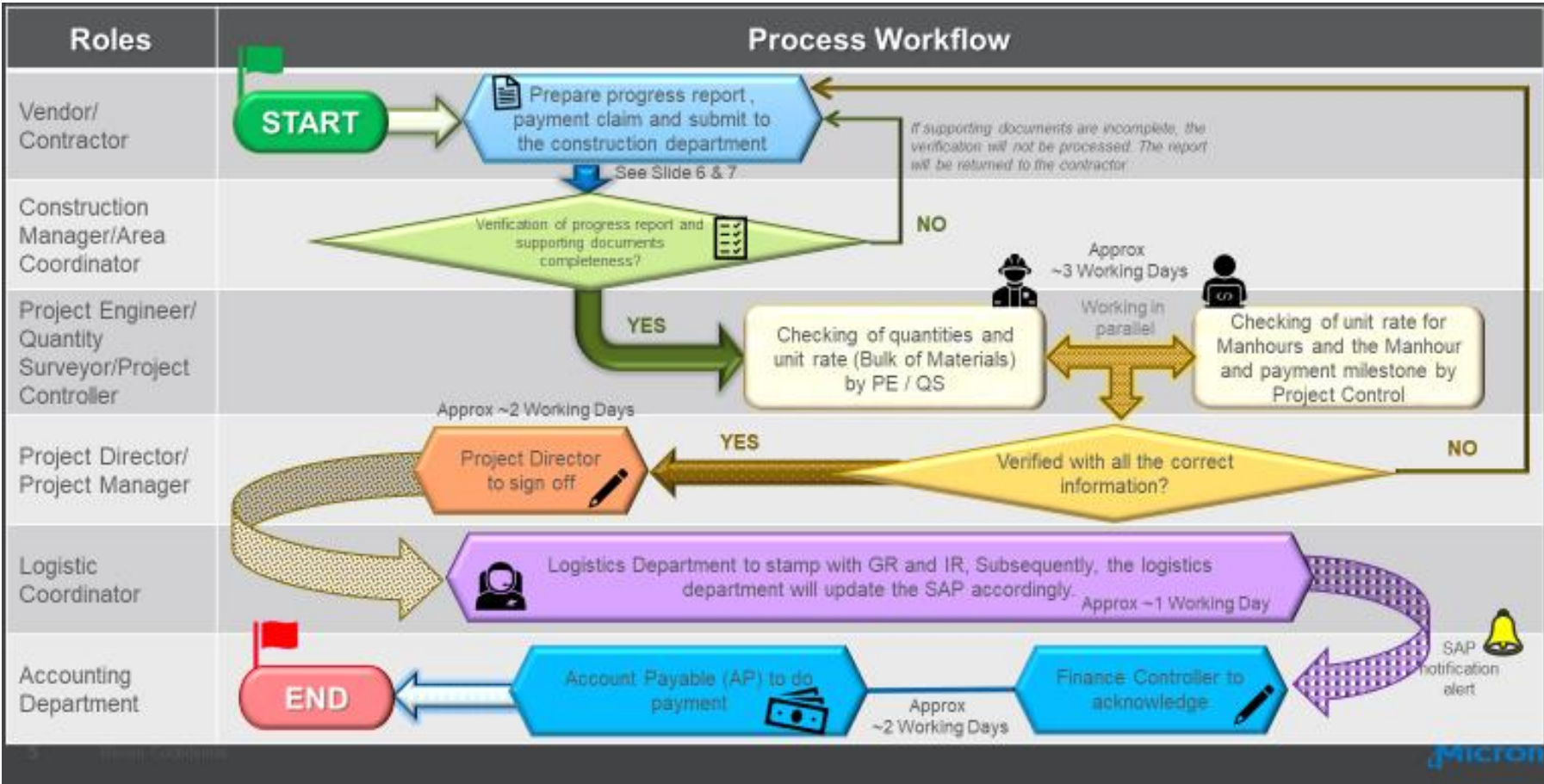


Figure 2: Payment Certificate

| APPLICATION AND CERTIFICATION FOR PAYMENT                                                                                                                                                                                                                                                                                                                                                                                             |  |                |                 | PAGE ONE OF TWO PAGES               |  |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|----------------|-----------------|-------------------------------------|--|
| TO OWNER:                                                                                                                                                                                                                                                                                                                                                                                                                             |  | PROJECT:       | APPLICATION NO: | Distribution to:                    |  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |                |                 | <input type="checkbox"/> OWNER      |  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |                |                 | <input type="checkbox"/> ARCHITECT  |  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |                |                 | <input type="checkbox"/> CONTRACTOR |  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |                |                 |                                     |  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |                |                 |                                     |  |
| FROM CONTRACTOR:                                                                                                                                                                                                                                                                                                                                                                                                                      |  | VIA ARCHITECT: | PERIOD TO:      |                                     |  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |                |                 |                                     |  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |                | PROJECT NO:     |                                     |  |
|                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |                |                 |                                     |  |
| CONTRACT FOR:                                                                                                                                                                                                                                                                                                                                                                                                                         |  | CONTRACT DATE: |                 |                                     |  |
| <b>CONTRACTOR'S APPLICATION FOR PAYMENT</b>                                                                                                                                                                                                                                                                                                                                                                                           |  |                |                 |                                     |  |
| Application is made for payment, as shown below, in connection with the Contract.<br>Continuation Sheet                                                                                                                                                                                                                                                                                                                               |  |                |                 |                                     |  |
| The undersigned Contractor certifies that to the best of the Contractor's knowledge, information and belief the Work covered by this Application for Payment has been completed in accordance with the Contract Documents, that all amounts have been paid by the Contractor for Work for which previous Certificates for Payment were issued and payments received from the Owner, and that current payment shown herein is now due. |  |                |                 |                                     |  |
| CONTRACTOR:                                                                                                                                                                                                                                                                                                                                                                                                                           |  |                |                 |                                     |  |
| By: _____ Date: _____                                                                                                                                                                                                                                                                                                                                                                                                                 |  |                |                 |                                     |  |
| State of: _____ County of: _____                                                                                                                                                                                                                                                                                                                                                                                                      |  |                |                 |                                     |  |
| Subscribed and sworn to before me this _____ day of _____                                                                                                                                                                                                                                                                                                                                                                             |  |                |                 |                                     |  |
| Notary Public:                                                                                                                                                                                                                                                                                                                                                                                                                        |  |                |                 |                                     |  |
| My Commission expires:                                                                                                                                                                                                                                                                                                                                                                                                                |  |                |                 |                                     |  |
| <b>ARCHITECT'S CERTIFICATE FOR PAYMENT</b>                                                                                                                                                                                                                                                                                                                                                                                            |  |                |                 |                                     |  |
| In accordance with the Contract Documents, based on on-site observations and the data comprising the application, the Architect certifies to the Owner that to the best of the Architect's knowledge, information and belief the Work has progressed as indicated, the quality of the Work is in accordance with the Contract Documents, and the Contractor is entitled to payment of the AMOUNT CERTIFIED.                           |  |                |                 |                                     |  |
| AMOUNT CERTIFIED . . . . . \$ 0.00                                                                                                                                                                                                                                                                                                                                                                                                    |  |                |                 |                                     |  |
| (Attach explanation if amount certified differs from the amount applied. Initial all figures on this Application and on the Continuation Sheet that are changed to conform with the amount certified.)                                                                                                                                                                                                                                |  |                |                 |                                     |  |
| ARCHITECT:                                                                                                                                                                                                                                                                                                                                                                                                                            |  |                |                 |                                     |  |
| By: _____ Date: _____                                                                                                                                                                                                                                                                                                                                                                                                                 |  |                |                 |                                     |  |
| This Certificate is not negotiable. The AMOUNT CERTIFIED is payable only to the Contractor named herein. Issuance, payment and acceptance of payment are without prejudice to any rights of the Owner or Contractor under this Contract.                                                                                                                                                                                              |  |                |                 |                                     |  |
| <b>Users may obtain validation of this document by requesting a completed Document - Certification of Document's Authenticity from the Licensee.</b>                                                                                                                                                                                                                                                                                  |  |                |                 |                                     |  |

| CHANGE ORDER SUMMARY                               | ADDITIONS | DEDUCTIONS |
|----------------------------------------------------|-----------|------------|
| Total changes approved in previous months by Owner | \$0.00    | \$0.00     |
| Total approved this Month                          | \$0.00    | \$0.00     |
| TOTALS                                             | \$0.00    | \$0.00     |
| NET CHANGES by Change Order                        | \$0.00    |            |

CONTINUATION SHEET

PAGE TWO OF TWO PAGES

CERTIFICATION FOR PAYMENT, containing Contractor's signed certification is attached.  
In tabulations below, amounts are stated to the nearest dollar.  
Use Column I on Contracts where variable retainage for line items may apply.

APPLICATION NO:  
APPLICATION DATE:  
PERIOD TO:  
PROJECT NO:

| A        | B                   |                 | D                                 | E           | F                                          | G                                          |           | H                         | I                            |
|----------|---------------------|-----------------|-----------------------------------|-------------|--------------------------------------------|--------------------------------------------|-----------|---------------------------|------------------------------|
| ITEM NO. | DESCRIPTION OF WORK | SCHEDULED VALUE | WORK COMPLETED                    |             | MATERIALS PRESENTLY STORED (NOT IN D OR E) | TOTAL COMPLETED AND STORED TO DATE (D+E+F) | % (G ÷ C) | BALANCE TO FINISH (C - G) | RETAINAGE (IF VARIABLE RATE) |
|          |                     |                 | FROM PREVIOUS APPLICATION (D + E) | THIS PERIOD |                                            |                                            |           |                           |                              |
|          |                     |                 |                                   |             |                                            |                                            |           |                           | 10%                          |
| 1        |                     | \$0.00          | \$0.00                            | \$0.00      | \$0.00                                     | \$0.00                                     | #DIV/0!   | \$0.00                    | \$0.00                       |
| 2        |                     | \$0.00          | \$0.00                            | \$0.00      | \$0.00                                     | \$0.00                                     | #DIV/0!   | \$0.00                    | \$0.00                       |
| 3        |                     | \$0.00          | \$0.00                            | \$0.00      | \$0.00                                     | \$0.00                                     | #DIV/0!   | \$0.00                    | \$0.00                       |
| 4        |                     | \$0.00          | \$0.00                            | \$0.00      | \$0.00                                     | \$0.00                                     | #DIV/0!   | \$0.00                    | \$0.00                       |
| 5        |                     | \$0.00          | \$0.00                            | \$0.00      | \$0.00                                     | \$0.00                                     | #DIV/0!   | \$0.00                    | \$0.00                       |
| 6        |                     | \$0.00          | \$0.00                            | \$0.00      | \$0.00                                     | \$0.00                                     | #DIV/0!   | \$0.00                    | \$0.00                       |
| 7        |                     | \$0.00          | \$0.00                            | \$0.00      | \$0.00                                     | \$0.00                                     | #DIV/0!   | \$0.00                    | \$0.00                       |
| 8        |                     | \$0.00          | \$0.00                            | \$0.00      | \$0.00                                     | \$0.00                                     | #DIV/0!   | \$0.00                    | \$0.00                       |
| 9        |                     | \$0.00          | \$0.00                            | \$0.00      | \$0.00                                     | \$0.00                                     | #DIV/0!   | \$0.00                    | \$0.00                       |
| 10       |                     | \$0.00          | \$0.00                            | \$0.00      | \$0.00                                     | \$0.00                                     | #DIV/0!   | \$0.00                    | \$0.00                       |
| 11       |                     | \$0.00          | \$0.00                            | \$0.00      | \$0.00                                     | \$0.00                                     | #DIV/0!   | \$0.00                    | \$0.00                       |
| 12       |                     | \$0.00          | \$0.00                            | \$0.00      | \$0.00                                     | \$0.00                                     | #DIV/0!   | \$0.00                    | \$0.00                       |
| 13       |                     | \$0.00          | \$0.00                            | \$0.00      | \$0.00                                     | \$0.00                                     | #DIV/0!   | \$0.00                    | \$0.00                       |
|          | GRAND TOTALS        | \$0.00          | \$0.00                            | \$0.00      | \$0.00                                     | \$0.00                                     | #DIV/0!   | \$0.00                    | \$0.00                       |

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Figure 3: Local Goods (Equipment / Materials) Purchase Payment Flow Chart

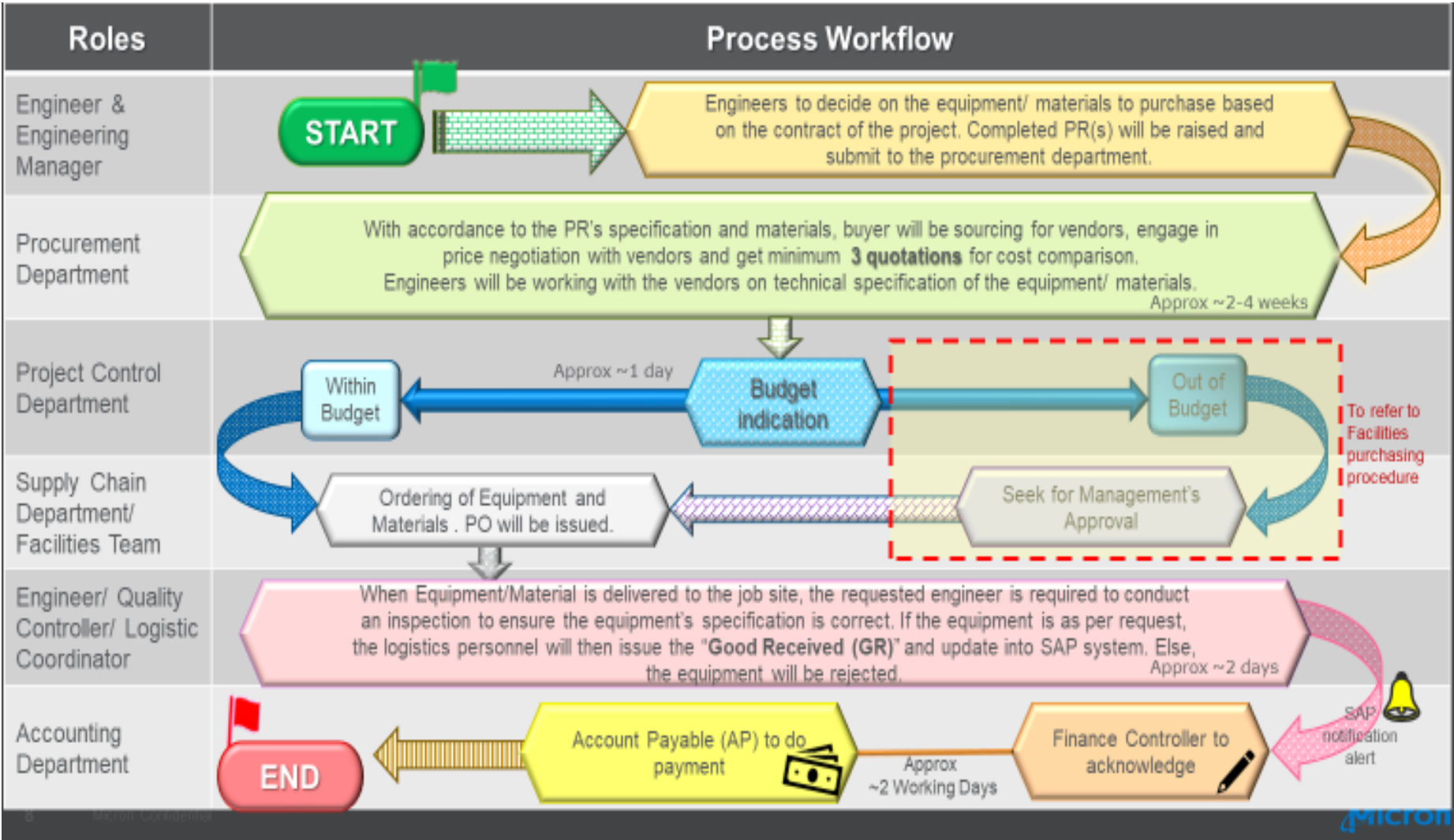
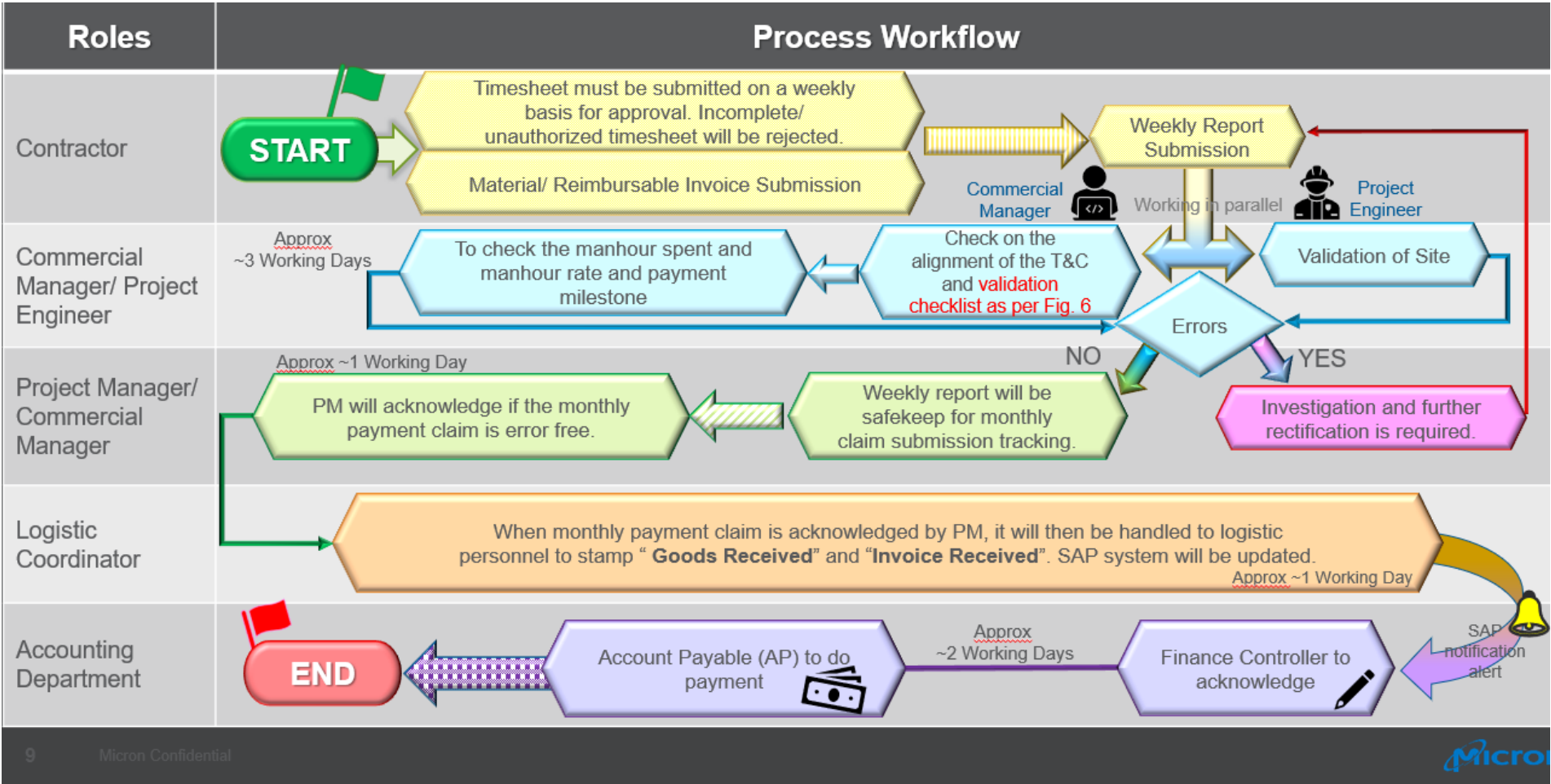


Figure 4: Time and Material Purchase Payment



### Figure 5: Timesheet Format

| ABC Company<br>Timesheet                            |                  |                                          |                           |                           |          |                                       |        |         |                                                                          |          |        |
|-----------------------------------------------------|------------------|------------------------------------------|---------------------------|---------------------------|----------|---------------------------------------|--------|---------|--------------------------------------------------------------------------|----------|--------|
| Name :                                              |                  |                                          |                           |                           |          | Weekending as of:                     |        |         |                                                                          |          |        |
| Employee No:                                        |                  |                                          |                           |                           |          | Allowable Working Hours per week (A): |        | 40      | (As per statutory working hours)                                         |          |        |
| Cost Centre No:                                     |                  |                                          |                           |                           |          | Exceed Working Hours (B-A):           |        | 2       |                                                                          |          |        |
| Project Number                                      | Task Description | Standard (S) /<br>Overtime (O)<br>Hour ? | Total<br>Standard<br>Hour | Total<br>Overtime<br>Hour | Saturday | Sunday                                | Monday | Tuesday | Wednesday                                                                | Thursday | Friday |
| SN902A0                                             | Site Check       | S                                        | 40                        | 0                         | 0        | 0                                     | 8      | 8       | 8                                                                        | 8        | 8      |
| SN902A0                                             | Drawing Review   | O                                        | 0                         | 2                         | 2        | 0                                     | 0      | 0       | 0                                                                        | 0        | 0      |
|                                                     |                  |                                          |                           |                           |          |                                       |        |         |                                                                          |          |        |
|                                                     |                  |                                          |                           |                           |          |                                       |        |         |                                                                          |          |        |
|                                                     |                  |                                          |                           |                           |          |                                       |        |         |                                                                          |          |        |
|                                                     |                  |                                          |                           |                           |          |                                       |        |         |                                                                          |          |        |
|                                                     |                  |                                          |                           |                           |          |                                       |        |         |                                                                          |          |        |
|                                                     |                  |                                          |                           |                           |          |                                       |        |         |                                                                          |          |        |
|                                                     |                  |                                          |                           |                           |          |                                       |        |         |                                                                          |          |        |
|                                                     |                  | Total<br>Respective<br>Hours             | 40                        | 2                         | 2        | 0                                     | 8      | 8       | 8                                                                        | 8        | 8      |
|                                                     |                  | Grand Hour for<br>the week (B)           | 42                        |                           |          |                                       |        |         |                                                                          |          |        |
| Employee's Name, Signature and Date:                |                  |                                          |                           |                           |          |                                       |        |         | Company Stamp:                                                           |          |        |
| Supervisor's Name, Signature and Date:              |                  |                                          |                           |                           |          |                                       |        |         | <div style="border: 2px solid black; height: 100px; width: 100%;"></div> |          |        |
| Project Manager's Name, Signature and Date:         |                  |                                          |                           |                           |          |                                       |        |         |                                                                          |          |        |
|                                                     |                  |                                          |                           |                           |          |                                       |        |         |                                                                          |          |        |
| <b>Client's Approval</b>                            |                  |                                          |                           |                           |          |                                       |        |         |                                                                          |          |        |
| Project Control Manager's Name, Signature and Date: |                  |                                          |                           |                           |          |                                       |        |         | <div style="border: 2px solid black; height: 100px; width: 100%;"></div> |          |        |
| Project Manager's Name, Signature and Date:         |                  |                                          |                           |                           |          |                                       |        |         |                                                                          |          |        |
|                                                     |                  |                                          |                           |                           |          |                                       |        |         |                                                                          |          |        |

**PLEASE NOTE:** The blue font is an example of how to use this timesheet fill in. Please ensure the cells are correctly fill up so that no labour correction is required.

**Figure 6: Check list for verification of Time and Material invoices**

| Steps | Material Invoice                                                                                  | Steps | Time Invoice                                                                                                                                  |
|-------|---------------------------------------------------------------------------------------------------|-------|-----------------------------------------------------------------------------------------------------------------------------------------------|
| 1     | Obtain job cost report containing all costs incurred by prime contractor.                         | 1     | Obtain labor billing summary for prime contractor                                                                                             |
| 2     | Select a sample of material purchases and request supporting documentation from prime contractor. | 2     | Create a sample specifically focused on employees with large amounts of overtime, or overtime billed on less than 40 hours of work in a week. |
| 3     | Reconcile entries to supporting documentation                                                     | 3     | Request timesheets for selected employees and reconcile to labor billing summary                                                              |
| 4     | Verify purchases were authorized and allowable pass-through costs.                                | 4     | Verify labor rates comply with contract rates                                                                                                 |
| 5     | Verify the job name and address on the invoices are applicable to the owner                       | 5     | Verify Overtime is calculated correctly and properly authorized.                                                                              |
| 6     | Verify materials and services that are exempt from sales tax.                                     |       |                                                                                                                                               |

**Figure 7: Check list for verification for Materials purchases and equipment rentals**

| Steps | Materials Purchase and Equipment Rental Invoice                                                                                                |
|-------|------------------------------------------------------------------------------------------------------------------------------------------------|
| 1     | Reconcile equipment rates to contract rate                                                                                                     |
| 2     | Verify rental and purchase invoice                                                                                                             |
| 3     | Reconcile total payments with the equipment fair market value. For example, for rentals, question any item exceeding 80% of fair market value. |
| 4     | Obtain job cost report containing all costs incurred by prime contractor                                                                       |
| 5     | Request supporting documentation from prime contractor                                                                                         |
| 6     | Reconcile entries to supporting documentation                                                                                                  |
| 7     | Verify purchases were authorized and allowable pass-through costs                                                                              |
| 8     | Verify the job name and address on the invoices are applicable to the owner                                                                    |
| 9     | Verify material and services that exempt from sales tax                                                                                        |